SME
BUDGETING

COURSE SLIDES · WSQ

WSQ Budgeting for Small and Medium Enterprises

WSQ Course Code: TGS-2021002336

Conducted by Tertiary Infotech Academy Pte Ltd · UEN 201200696W

Version v13 · 11 August 2026

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COURSE ADMINISTRATION

Welcome & Housekeeping

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Digital Attendance (Mandatory)

- It is mandatory to take the AM, PM and Assessment digital attendance for WSQ-funded courses.
- The trainer/administrator displays the digital attendance QR code from the SSG portal.
- Scan the QR code with your mobile phone camera and submit your attendance.
- A minimum of 75% attendance is required to be eligible for assessment and funding.

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About the Trainer



Your Trainer

General Trainer template —
to be completed by the trainer

NAME

TITLE / DESIGNATION

QUALIFICATIONS

AREAS OF EXPERTISE

TRAINING & INDUSTRY EXPERIENCE

CONTACT

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YOUR TRAINER

About the Trainer



Dr Alfred Ang

Principal Trainer
Tertiary Infotech Academy Pte Ltd

ROLE
Principal Trainer, Tertiary Infotech Academy Pte Ltd

QUALIFICATIONS
PhD · ACTA/DACE-certified adult educator

DELIVERS
WSQ courses on budgeting, finance, data analytics and emerging technologies.

FOUNDER
Founder and lead instructor at Tertiary Infotech / Tertiary Courses.

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ICE-BREAKER

Let's Know Each Other

- Your name and organisation / role.
- Your experience with budgeting, accounting or finance (if any).
- What you want your business or department budget to achieve after this course.

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HOUSEKEEPING

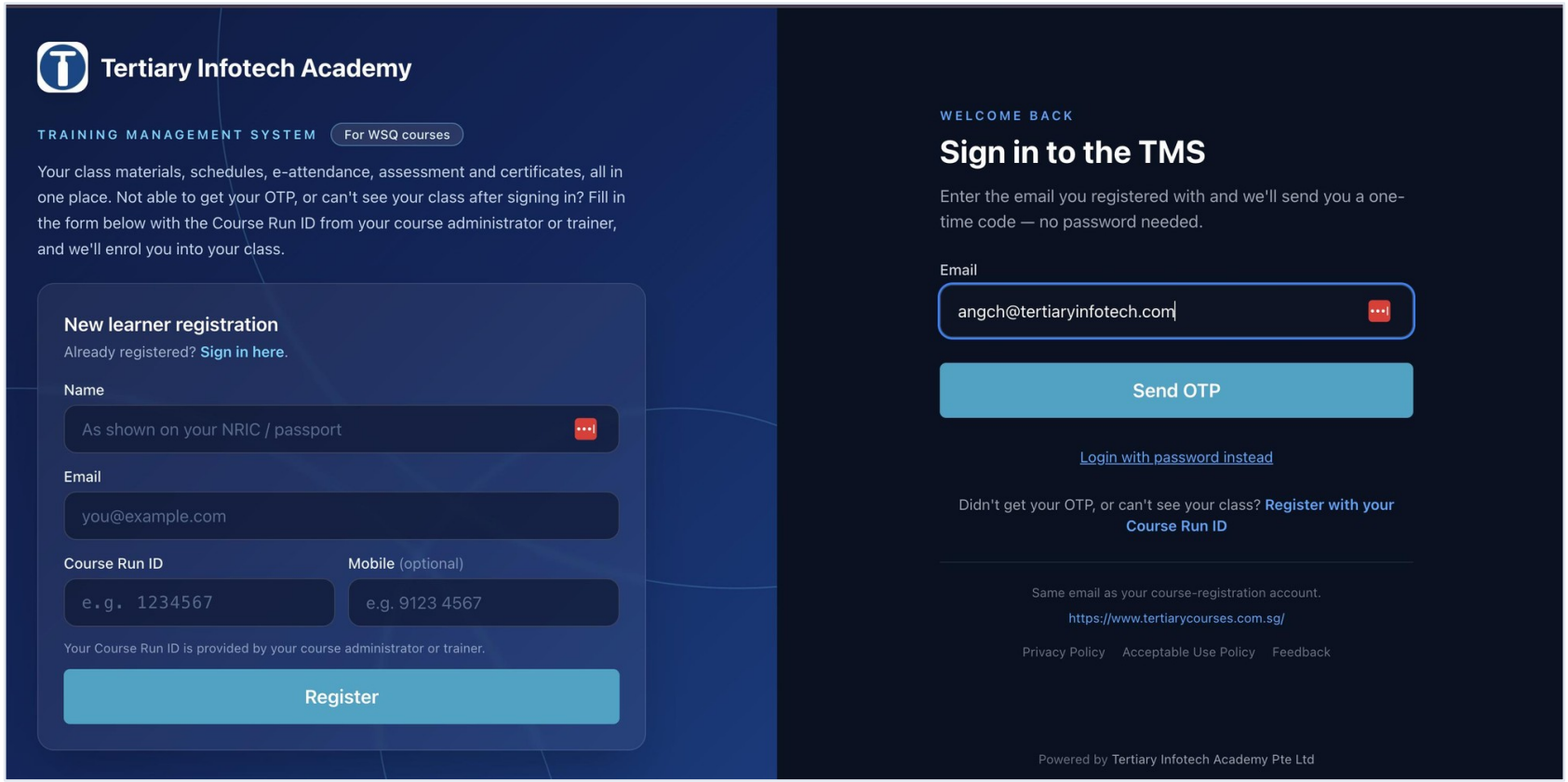
Ground Rules

1. Set your mobile phone to silent mode.
2. Participate actively — no question is stupid.
3. Mutual respect: agree to disagree.
4. One conversation at one time.
5. Be punctual; return from breaks on time.
6. 75% attendance is required.

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COURSE PORTAL

Login to LMS and Download Course Material



Log in at lms-tms.tertiaryinfotech.com with your registered email and the OTP sent to your inbox, then open this course to download the slides and Learner Guide.

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Download Course Material

1. Go to lms-tms.tertiaryinfotech.com and log in with your registered email
2. Open My Courses and select this course
3. Download the Trainer Slides and Learner Guide (PDF)
4. Open the Activities folder for the hands-on data files and templates
5. Keep the materials handy — the assessment is open book

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SCHEDULE

Lesson Plan — 2 Days, 8 hours/day

Day 1

- Day 1 — Budgeting Foundations, Forecasting & Budget Preparation
  - Topic 1: Introduction to Financial Budgeting (Activities 1–3)
  - Topic 2: Financial Forecasting (Activity 4)
  - Topic 3: Budget Preparation (Activity 5)

Day 2

- Day 2 — Budget Control, Analysis, Approval, Compliance & Assessment
  - Topic 4: Budget Control Plan (Activity 6)
  - Topic 5: Budget Analysis (Activities 7–8)
  - Topic 6: Budget Approval (Activity 9)
  - Topic 7: Financial Compliance (Activities 10–12)
  - Final Assessment: WA (SAQ) + WA (CS)
  - Daily timing: 9:30am–6:30pm · 1-hour lunch · tea breaks within

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TSC ALIGNMENT

Skills Framework

1

TSC Title

Budgeting

2

TSC Code

ICT-FIN-3001-1.1

3

Framework

ICT Skills Framework (SkillsFuture Singapore)

4

Coverage

7 abilities (A1–A7) and 10 knowledge areas (K1–K10) mapped across the 7 topics.

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SKILLS FRAMEWORK TSC

TSC Abilities (A1–A7)

A1 Analyse business function strategies, functional objectives and operational plans

A2 Carry out forecasting and budgeting for the financial year

A3 Calculate the business unit's cash flow requirements

A4 Determine the business unit's financing needs for the financial year

A5 Compare budget data with estimations to highlight discrepancies

A6 Report budget calculations and discrepancies to organisation management to facilitate decisions on budget allocation

A7 Ensure adherence to financial controls in accordance with relevant organisational corporate governance and financial policies, legislation and regulations

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SKILLS FRAMEWORK TSC

TSC Knowledge (K1–K10)

K1	Objectives, parameters and types of budgets
K2	Key principles of accounting and financial systems
K3	Types of data sources and data required to prepare a budget
K4	Accounting principles and practices related to budget preparation
K5	Key principles of budgetary control and budget plans, budgetary control techniques
K6	Requirements of Singapore's taxation policies
K7	Functional objectives and key requirements
K8	Organisational financial data
K9	Financial analytical techniques and methodology
K10	Stakeholders to consult on budget calculations

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WHAT YOU'LL ACHIEVE

Learning Outcomes

1

LO1 · Analyse

Analyse business strategies and objectives.

2

LO2 · Forecast

Carry out financial forecasting.

3

LO3 · Prepare

Prepare budget to meet cash flow requirements.

4

LO4 · Control

Prepare budget control plan.

5

LO5 · Analyse variances

Perform financial analysis to highlight discrepancies.

6

LO6 · Report

Report budget and seek approval.

7

LO7 · Comply

Perform financial control to ensure compliance.

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Briefing for Assessment

- Place phones and other materials under the table or on the floor.
- No photos or recording of assessment scripts.
- No discussion during the assessment.
- Use a black/blue pen for hard-copy assessments.
- No liquid paper / correction tape.
- Scripts are collected when time is up.

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FINAL ASSESSMENT

Assessment

- Written Assessment (WA) — Short-Answer Questions (SAQ), 70 minutes, open book.
- Written Assessment (WA) — Case Study (CS), 80 minutes, open book.
- Format: Open Book — course slides, Learner Guide and approved materials only.
- A minimum of 75% attendance is required to be eligible for assessment and funding.
- An appeal process is available if required.

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ON ASSESSMENT DAY

Assessment Flow

1. TRAQOM survey — scan the QR code on the LMS
2. Assessment digital attendance — scan the SSG QR
3. Sit WA (SAQ) 70 min, then WA (CS) 80 min — open book
4. Submit your answers on the LMS
5. Sign the Assessment Summary Record

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WSQ FUNDING

Criteria for Funding

1

75% attendance

Minimum attendance rate of 75% based on the SSG Digital Attendance record.

2

Competent

Complete the assessment and be assessed as 'Competent'.

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01

TOPIC 01

Introduction to Financial Budgeting

Business strategies and objectives · Budgeting parameters · Budgeting types (A1, K1)

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TSC COVERAGE A1 · K1

Key Concepts — Introduction to Financial Budgeting

1

What is a budget?

A quantitative operational plan for acquiring and using resources over a set period — goals plus a detailed plan to achieve them.

2

The three statements

A company budget is expressed through the Profit & Loss, Balance Sheet and Cash Flow Statement.

3

An internal function

Budgeting is management accounting — customised to the company's needs, unlike IFRS/GAAP financial statements.

4

Master Budget

Aggregates operating, financial and investing inputs from every department into one plan.

5

Static vs flexible

Most companies review results monthly or quarterly and re-forecast — a flexible planning model.

6

Budget types

Operating, financial, capital and cash budgets; baseline, incremental, zero-based and hybrid methods.

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WARM-UP DISCUSSION

Activity: Plan Your Vacation

- If you have a budget of $3,000, how would you plan your vacation?
- Think: what are your income limits, your big cost items and your trade-offs?
- Share your plan — this is exactly what a company budget does at a bigger scale.

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FOUNDATIONS

What is a Budget?

1

Goals + plan

The goals for the next year(s) plus a detailed plan of how to achieve them.

2

Foresight

Identifies potential opportunities and bottlenecks in advance.

3

Decision support

Helps management make important decisions when steering the company.

4

12–18 months

Companies typically budget when preparing for the next 12–18 months.

5

Operational plan

Reduces uncertainty and plans for the future.

6

Personal analogy

Saving $1,000 in 12 months needs a plan combining income and expenses — that plan is a budget.

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COMPANY BUDGET REPRESENTATION

A company's budget is a detailed roadmap.

It shows what needs to be done to obtain the desired results — expressed through the three main financial statements.

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The Three Financial Statements

Profit & Loss

- Statement of Income
- Revenues — the top line
- Cost of Goods Sold
- SG&A expenses
- Shows PROFITABILITY

Balance Sheet

- Statement of Financial Position
- Assets: cash, receivables, inventory, PP&E
- Liabilities: payables, loans
- Equity: owners' capital
- Shows LIQUIDITY & NET WORTH

Cash Flow Statement

- Cash in and cash out
- Operating activities
- Investing activities
- Financing activities
- Shows CASH HEALTH

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INTERNAL VS EXTERNAL

Is the Budget Standardised?

Budget

- Budgeting — internal
  - A management-accounting function
  - Process depends on the company's needs
  - Customised as required
  - Accessed by internal users

Financial statements

- Financial statements — external
  - Governed by IFRS or GAAP
  - Standard formats for all companies
  - Used by investors, banks, IRAS

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WHY BUDGET

The Goals of a Budget

1

Quantitative plan

Acquiring and using resources over a specified period.

2

More surplus

Increase income and reduce expenses to forecast more surplus (disposable income / profit).

3

Track & monitor

Track sales, monitor costs and prepare a cash flow schedule.

4

Reduce uncertainty

An operational plan for the future, updated as reality unfolds.

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EMPLOYEE INVOLVEMENT

Who Prepares the Budget?

1. **Division heads**
   Own their unit's targets and cost plans.
2. **Sales teams**
   Forecast the top line they must deliver.
3. **Supply chain**
   Plans purchasing, inventory and logistics costs.
4. **Marketing**
   Campaign and promotion spend.
5. **HR**
   Headcount and salary planning.
6. **Finance**
   Coordinates, consolidates and controls the process.

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PLANNING MODELS

Static or Flexible Budget?

Static

- Static model
  - Not adjusted throughout the year
  - Simple, but ignores new circumstances

Flexible (most companies)

- Flexible model
  - Reviewed monthly / quarterly / half-yearly
  - Forecasts updated with the latest estimates
  - Lets the company correct course

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ESSENTIALS

Key Elements of Budgeting

1. A plan expressed in financial terms for attaining an objective.
2. Prepared and approved before a defined time.
3. Shows the planned income to be generated.
4. Shows the probable expenditure to be incurred.
5. Indicates the capital to be employed during the period.

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AGGREGATING ALL INPUTS

The Master Budget

Operating plan

- Revenue budget
- Cost of sales
- SG&A expenses

Investing plan

- Capital expenditure
- Fixed assets & depreciation

Financial plan

- Working capital
- Financing & interest
- Cash plan

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CREATING A MASTER BUDGET

Master Budget = P&L + Balance Sheet + Cash Flow.

One document aggregating the input of every business unit, department and cost centre for the annual business plan.

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WHO SETS THE NUMBERS

Budget Stakeholders

1

Shareholders & Board

More ambitious, less cautious with predictions.

2

Mid-management & finance

Prefer forecasts that are easier to achieve.

3

Budgeting committee

Reconciles both views and revises the plan.

4

Communication

The committee must explain and 'sell' the final numbers to departments.

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BUDGETING TYPES

Classification of Budget

What it covers

- By content
  - Operating budget — revenue & expenses
  - Cash budget — inflows & outflows
  - Capital budget — long-term investments
  - Financial budget — funding & liquidity

How it is built

- By method
  - Baseline — previous plan as the base
  - Incremental — % or $ on the baseline
  - Zero-based — starts fresh
  - Hybrid — a combination

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WHAT YOU'LL DO

Hands-On Activities — Introduction to Financial Budgeting

Activity 1

- Financial Statements with Xero

Activity 2

- Creating a Budget in Xero

Activity 3

- Identifying Budget Types

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TOPIC 01 · HANDS-ON ACTIVITY

Financial Statements with Xero

ACTIVITY 1

Sign up for a free Xero account, open the demo company with fictional data, and generate the three financial statements a budget is expressed through.

You'll produce

The Income Statement, Balance Sheet and Cash Flow Statement of the Xero demo company.

Tools: Xero (free trial), Xero Demo Company

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 1 · VERIFY

Financial Statements with Xero

✅ Check your work

You can display all three statements for the Xero demo company and point out where revenue, COGS, assets, liabilities, equity and net cash movement appear on each.

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Creating a Budget in Xero

ACTIVITY 2

Use Xero's Budget Manager to create a budget for the demo company, comparing budgeted amounts against actuals.

You'll produce

A 12-month budget in Xero Budget Manager with budgeted amounts entered for key P&L accounts.

Tools: Xero Budget Manager

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 2 · VERIFY

Creating a Budget in Xero

✅ Check your work

Your saved budget shows 12 months of budgeted figures for revenue and expense accounts, and Budget Manager displays actuals alongside the budget for comparison.

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Identifying Budget Types

ACTIVITY 3

Classify the budgets you built in Xero against the classification of budgets — operating, financial, capital and cash — and the preparation methods (baseline, incremental, zero-based, hybrid).

You'll produce

A completed budget-type classification table for the parameters used in the previous Xero activities.

Tools: Xero, budget classification worksheet

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 3 · VERIFY

Identifying Budget Types

✅ Check your work

You can name the budget type and preparation method for every parameter in your Xero budget and justify the classification.

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TOPIC RECAP

Recap — Introduction to Financial Budgeting

- You can now: LO1 — Analyse business strategies and objectives (A1, K1)

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02

TOPIC 02

Financial Forecasting

Key principles of accounting · Key principles of corporate finance · Time value of money (A2, K2)

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TSC COVERAGE A2 · K2

Key Concepts — Financial Forecasting

1

Accounting principles

GAAP/IFRS rules — accrual, conservatism, consistency, matching, materiality, revenue recognition and going concern.

2

Accrual vs cash method

Accrual records revenue when earned and expenses when incurred; cash records only when money moves.

3

Corporate finance

Maximising shareholder value through capital investment, capital financing and working-capital decisions.

4

Capital financing

Balancing debt against equity — too much debt raises default risk; too much equity dilutes earnings.

5

Time value of money

A dollar today is worth more than a dollar tomorrow — discount long-horizon budgets accordingly.

6

Forecasting techniques

Qualitative and quantitative methods over short, medium and long horizons; bottom-up and top-down.

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What are Accounting Principles?

- The rules and guidelines companies must follow when reporting financial data.
- In the U.S., the FASB issues the standardised set known as GAAP; internationally, IFRS applies.
- Budgets are built on the same principles so budget and actuals stay comparable.

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GAAP / IFRS

Key Principles of Accounting

1. **Accrual**
   Record revenue when earned, expenses when incurred.

2. **Conservatism**
   Recognise expenses and liabilities early, revenue only when assured.

3. **Consistency**
   Apply the same methods period after period.

4. **Full disclosure**
   Report all information relevant to users.

5. **Going concern**
   Assume the business continues to operate.

6. **Matching**
   Match expenses to the revenue they generate.

7. **Materiality**
   Record items significant to decisions.

8. **Revenue recognition**
   Recognise revenue when the performance obligation is met.

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WHY IT MATTERS

Advantages of Accounting

1. Financial information about the business.
2. Assistance to management.
3. Replaces memory; facilitates comparison and benchmarking.
4. Facilitates settlement of tax liabilities.
5. Facilitates loans and sale of business.
6. Evidence in court; helps decision making.

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Accrual vs Cash Method

Accrual

- Accrual method
  - Revenue recorded when EARNED
  - Expenses recorded when INCURRED
  - Matches effort to results — required by GAAP/IFRS

Cash

- Cash method
  - Revenue recorded when cash is RECEIVED
  - Expenses recorded when cash is PAID
  - Simple — but can mislead on profitability

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CORPORATE FINANCE

Key Principles of Corporate Finance

1

What it is

The division dealing with financial and investment decisions.

2

Objective

Maximise shareholder value through long- and short-term financial planning.

3

Capital investments

Deploy long-term capital through capital budgeting — identify, estimate cash flows, compare, decide.

4

Poor budgeting hurts

Excessive or under-funded investment compromises financing costs or operating capacity.

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SOURCING CAPITAL

Capital Financing — Debt vs Equity

Debt

- Debt
  - Borrow from banks or issue debt securities
  - Interest is an obligation
  - Too much debt increases default risk

Equity

- Equity
  - Sell stock to equity investors
  - Good for long-term expansion funding
  - Heavy reliance dilutes earnings and value

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CAPITAL INVESTMENTS

Budgeting is the key to identify and prioritise capital investments.

Capital budgeting compares planned investments with potential proceeds and decides which projects make the capital budget.

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TVM

Time Value of Money

1

The core principle

Money available now is worth more than the same amount later, due to its earning capacity.

2

In one line

A dollar today is worth more than a dollar tomorrow.

3

Why it matters here

Budgets span 1–10 years — long-horizon plans must account for the time value of money.

4

How

Discount future cash flows at the required rate of return.

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Forecasting Horizons & Techniques

How far ahead

- Horizons
  - Short term — weeks to months (cash)
  - Medium term — the budget year
  - Long term — 3 to 10 years (strategy)

How to forecast

- Techniques
  - Qualitative — expert judgement, market research
  - Quantitative — trend, regression, time series
  - Bottom-up with company parameters · Top-down with macro assumptions

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TOPIC 02 · HANDS-ON ACTIVITY

Financial Forecasting with Xero

ACTIVITY 4

Use Xero's Budget Manager to perform a full financial forecast for the coming year from a set of business assumptions, choosing and justifying your budgeting methods.

You'll produce

A 12-month financial forecast in Xero Budget Manager reflecting all given sales, cost, headcount and capex assumptions.

Tools: Xero Budget Manager

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 4 · VERIFY

Financial Forecasting with Xero

✅ Check your work

Your Budget Manager forecast reflects every assumption (10% MoM sales growth, 5% commission, 2% discount, 55% direct costs, new office from June, +3 headcount from July, $30k/month depreciation) and you can justify the method used for each line.

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TOPIC RECAP

Recap — Financial Forecasting

- You can now: LO2 — Carry out financial forecasting (A2, K2)

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03

TOPIC 03

Budget Preparation

Cash flow calculation · Preparing the budget (A3, K3, K4)

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TSC COVERAGE A3 · K3 K4

Key Concepts — Budget Preparation

1

Budgeting methods

Baseline, incremental, zero-based and hybrid — choose per account and per business need.

2

Key components

Fixed vs flexible expenses, total income and disposable income (surplus).

3

Cash budget

Estimates cash inflows and outflows weekly, monthly, quarterly or annually to prove the entity can keep operating.

4

Cash inflow / outflow

Inflows from sales, investments and financing; outflows for wages, rent, suppliers and dividends.

5

Working capital

Current assets minus current liabilities — the measure of liquidity and short-term health.

6

The 7-step master budget

Revenue → cost of sales → SG&A → fixed assets → working capital → financial liabilities → compilation.

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FROM TARGETS TO APPROVED PLAN

Financial Budget Process

1. Set budget targets & guidelines for the fiscal year
2. Departments draft their annual plans
3. Budget review & consolidation
4. Board review & approved plan
5. Forecast vs actual — track variance

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CHOOSE PER ACCOUNT

Broad Budgeting Methods

1

Baseline budget

Begins with a previous plan as the baseline.

2

Incremental budget

A % or $ increment on the previous baseline.

3

Zero-based budget

Starts fresh like a new plan.

4

Hybrid budget

A combination of any of the three above.

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SPEAK THE LANGUAGE

Budgeting Terms

1

Fiscal year

The 12-month period the budget covers.

2

Budget targets & guidelines

Top-down goals and rules for the plan.

3

Annual plan

The consolidated department submissions.

4

Budget / Board review

Review gates before approval.

5

Approved plan

The committed budget for the year.

6

Forecast · Actual · Variance

Updated estimate · what happened · the difference.

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BUILDING BLOCKS

Key Components of a Budget

1

Fixed expenses

Stay the same from month to month — e.g. rent.

2

Flexible expenses

Change from month to month — e.g. utilities.

3

Total income

Income from operations plus dividends, rental and other sources.

4

Disposable income

What remains after taxes — the surplus to allocate.

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BUDGETING PRINCIPLE

To balance a budget you have 2 choices:

Increase income, or decrease spending.

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MAKE IT WORK

Budgeting — Advantages & Success Factors

Why budget

- Advantages
  - Planning orientation & profitability review
  - Assumptions & performance evaluation
  - Funding planning & cash allocation
  - Bottleneck analysis

What makes it succeed

- Success factors
  - Management support & employee involvement
  - Clear organisational goals & responsibility accounting
  - Flexibility & communication of results
  - Sound accounting system

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CASH IS KING

The Cash Budget

1

What

An estimation of cash inflows and outflows over a period — weekly, monthly, quarterly or annual.

2

Why

Assess whether the entity has sufficient cash to continue operating.

3

Insight

Shows cash needs and surpluses for efficient allocation of cash.

4

Manage

Sales and expenses must be managed to an optimal level of cash flow.

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TIME FRAMES

Short-Term vs Long-Term Cash Budget

Weeks–months

- Short-term
  - Utility bills, rent, payroll
  - Payments to suppliers
  - Operating expenses & investments

Quarters–years

- Long-term
  - Quarterly and annual tax payments
  - Capital expenditure projects
  - Long-term investments

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CASH MOVEMENT

Cash Inflow vs Cash Outflow

Inflow

- Cash inflow — money coming in
  - Sales revenue
  - Investments
  - Financing received
  - Healthy: inflow > outflow

Outflow

- Cash outflow — money going out
  - Staff wages & office rent
  - Supplier payments
  - Dividends to shareholders
  - Unhealthy: outflow > inflow

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LIQUIDITY & COSTS

Working Capital & Cost Behaviour

1

Working capital

Current assets − current liabilities — the measure of liquidity and short-term health.

2

Working capital days

Receivable, payable and inventory days drive the cash cycle.

3

Fixed cost

Does not vary with volume — rent, salaries, depreciation.

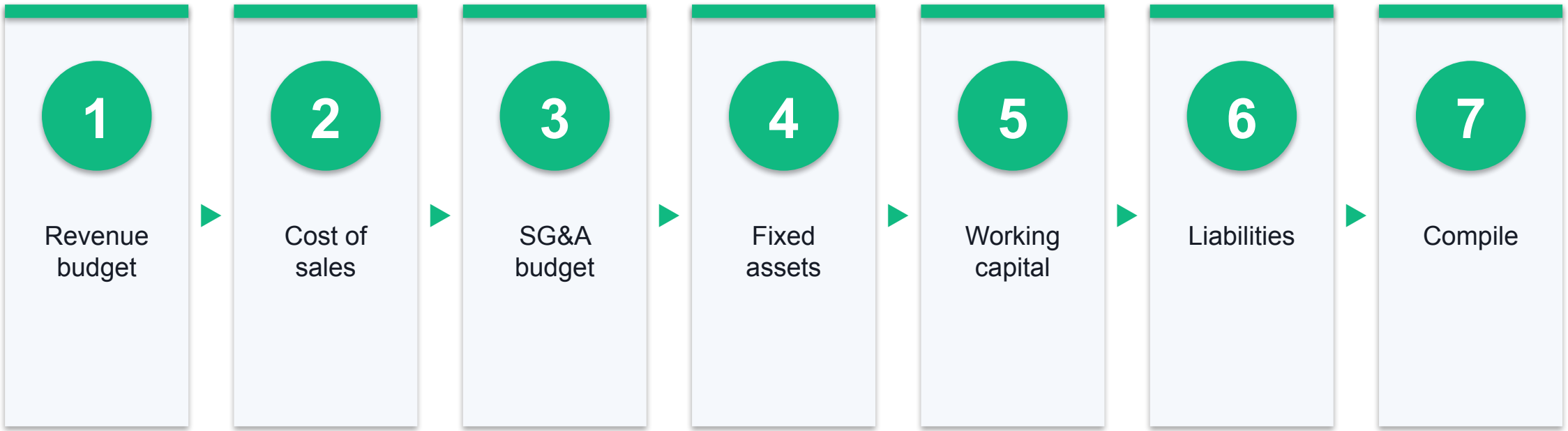
4

Variable cost

Varies with volume — materials, commissions, ad spend.

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The 7-Step Master Budget



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TOPIC 03 · HANDS-ON ACTIVITY

Master Budget Preparation — 99 Agency Case Study

ACTIVITY 5

Prepare a one-year Master Budget (Income Statement, Balance Sheet and Cash Flow Statement) for the fictitious company 99 Agency, working through the seven budget schedules on the provided template.

You'll produce

A complete Master Budget for 99 Agency — P&L, Balance Sheet and Cash Flow — consolidated from the seven schedules and presented to the class.

Tools: 99 Agency case study, Excel / Google Sheets working template

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 5 · VERIFY

Master Budget Preparation — 99 Agency Case Study

✅ Check your work

Your 99 Agency Master Budget consolidates all seven schedules; the Balance Sheet balances, closing cash ties across statements, and you presented the budget with its assumptions.

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TOPIC RECAP

Recap — Budget Preparation

- You can now: LO3 — Prepare budget to meet cash flow requirements (A3, K3, K4)

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End of Day 1

Day 2 starts at 9:30 am

04

TOPIC 04

Budget Control Plan

Preparing the budget control plan · Budgetary control techniques (A4, K5, K7)

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TSC COVERAGE A4 · K5 K7

Key Concepts — Budget Control Plan

1

Budgetary control

Prepare budgets, compare standards with actual performance, find the reasons for differences and take corrective action.

2

Operating control

Covers revenue and operating expenses to protect day-to-day operations and target EBITDA.

3

Cash flow control

Compares forecast inflows/outflows with actuals so obligations are always covered; invests idle cash.

4

Capex control

Plans and manages large capital expenditures so only profitable investments are made, at the right time.

5

Road map

Develop the budget collaboratively, document policies, train users and designate a budget manager.

6

Accountability

Managers are responsible and accountable for their department budgets, on one source of truth.

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BUDGET CONTROL

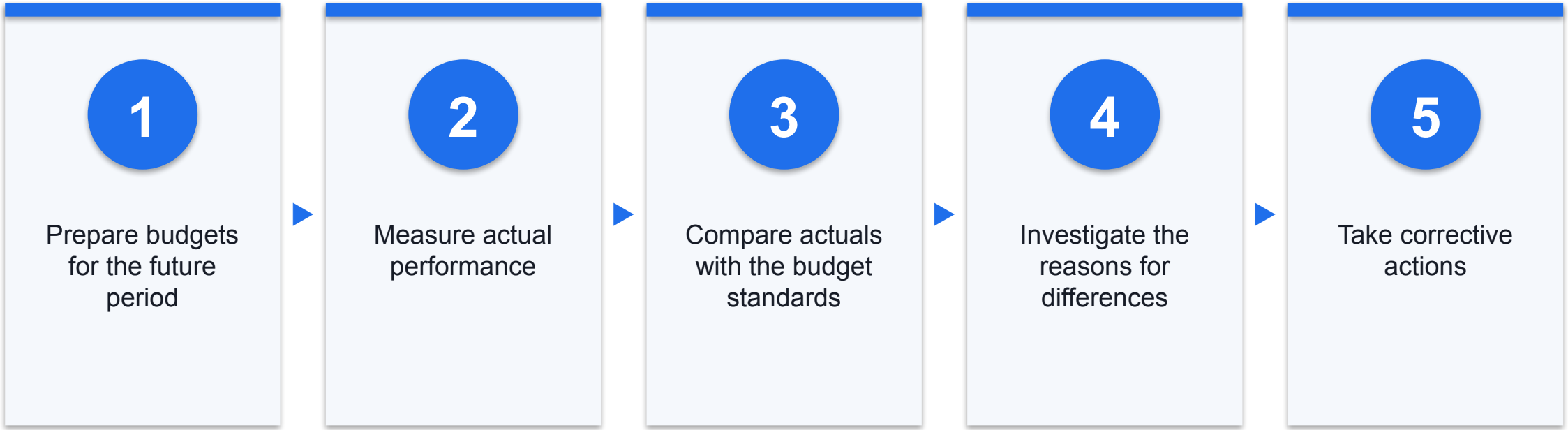
Budgetary control: compare, explain, correct.

Prepare budgets, compare them with actual performance, find the reasons for the differences and take corrective actions.

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THE CONTROL LOOP

Budgetary Control Process Steps



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THREE CONTROLS

Types of Budget Control

Operating control

- Covers revenues & operating expenses
- Protects day-to-day operations
- Targets the desired EBITDA

Cash flow control

- Forecast vs actual inflows/outflows
- Ensures obligations are always covered
- Invests idle cash for returns

Capex control

- Plans large capital expenditures
- Only profitable investments proceed
- Decisions taken at the right time

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GOVERNANCE

Budget Process Road Map & Control (1)

1. Develop the budget collaboratively, involving all stakeholders.
2. Document and communicate policies and procedures; ensure all stakeholders understand their roles.
3. Understand the users of the budget.
4. Provide training to those involved in the budget process.
5. Link cost-management efforts to the budgeting.
6. Conduct company-wide meetings to establish budget timelines and responsibilities.

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GOVERNANCE

Budget Process Road Map & Control (2)

1. Designate a budget manager to coordinate the process.
2. Use adequate hardware and software to support budgeting; avoid re-keying data and use templates.
3. Develop budgets that are flexible for changing conditions.
4. Ensure the integrity of systems, databases and records.
5. Make data available electronically to budget users.
6. Managers are responsible and accountable for their department budgets.

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Knowledge Check Quiz — Budget Control

ACTIVITY 6

Check your understanding of budgetary control — the control types, the control process steps and the budget process road map — with an online quiz.

You'll produce

A submitted quiz on budget control with your score reviewed against the class.

Tools: Google Forms

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 6 · VERIFY

Knowledge Check Quiz — Budget Control

✅ Check your work

You submitted the quiz and can explain any question you got wrong — especially the three types of budget control and the corrective-action loop.

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TOPIC RECAP

Recap — Budget Control Plan

- You can now: LO4 — Prepare budget control plan (A4, K5, K7)

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05

TOPIC 05

Budget Analysis

Compare budget with estimation · Financial methodologies for budget control (A5, K8, K9)

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TSC COVERAGE A5 · K8 K9

Key Concepts — Budget Analysis

1

Budget vs actual

Variance = actual − budget, in dollars and as a % — displayed on a Budget-to-Actual report.

2

Adverse variance

Actual income below budget or expenditure above budget — a deficit to investigate.

3

Favourable variance

Actual income above budget or expenditure below budget — a surplus to substantiate.

4

Thresholds

Manage overspends and underspends with clear dollar or percentage variance thresholds.

5

Analysis techniques

Vertical and horizontal analysis, benchmarking, and P&L / Balance-Sheet / ratio KPIs.

6

Technology & BI

Move beyond Excel — ERP budgeting modules and BI dashboards (Power BI on Xero) for insight.

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WORKED EXAMPLE

Budget · Actual · Variance · Forecast

1

Budget

Sales budgeted at $500,000 for the period.

2

Actual

Only $400,000 of sales were made.

3

Variance

($100,000) — and ($100,000) ÷ $500,000 = (20%) below budget.

4

Report

Dollar and percentage variances appear on the Budget-to-Actual report.

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KNOW THE DIFFERENCE

Budget vs Forecast

Budget

- Budget
  - A financial plan prepared in advance
  - The financial expression of the business target
  - Sets targets · updated annually
  - Variance analysis: YES

Forecast

- Forecast
  - Estimation of future trends from past and present data
  - Prediction of what the business WILL achieve
  - No targets · updated at regular intervals
  - Variance analysis: NO

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READ THE SIGNS

Types of Variances

Adverse

- Adverse variance
  - Actual income LESS than budget
  - Actual expenditure MORE than budget
  - A deficit — investigate and correct

Favourable

- Favourable variance
  - Actual income MORE than budget
  - Actual expenditure LESS than budget
  - A surplus — substantiate and learn

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VARIANCE MONITORING

Overspend / Underspend Thresholds

- Manage underspends and overspends by setting clear-cut thresholds.
- Thresholds can be a dollar value (e.g. ±$5,000) or a percentage (e.g. ±10%).
- Variances beyond the threshold trigger investigation and management action.
- Both favourable and adverse variances above the threshold must be substantiated.

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FINANCIAL METHODOLOGIES

Analysis Techniques

Vertical analysis

- Each line as a % of revenue (P&L)
- or of total assets (BS)
- Compare structure across periods

Horizontal analysis

- Change vs the prior period
- In dollars and percentages
- Reveals trends over time

Benchmarking

- Compare against industry peers
- Identify performance gaps
- Set realistic targets

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MEASURE WHAT MATTERS

KPIs for Budget Analysis

1

Income Statement KPIs

Revenue growth, gross margin, EBITDA margin, net margin.

2

Balance Sheet KPIs

Working capital, receivable/payable days, asset turnover.

3

Liquidity ratios

Current ratio, quick ratio — can we pay short-term obligations?

4

Profitability KPIs

ROA, ROE, return on capital employed.

5

Solvency KPIs

Debt-to-equity, interest cover — long-term resilience.

6

Financial ratios

Tie every KPI back to the budget assumptions.

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BEST PRACTICES

Ways to Improve Budgeting

1. Keep budgeting and forecasting flexible; implement rolling forecasts.
2. Budget to your plan and be clear about goals — measurable KPIs and metrics.
3. Communicate early and often; involve your entire team.
4. Plan for various scenarios — models and benchmarking.
5. Track everything; include profit AND cash flow goals.
6. Let Excel go — adopt purpose-built tools.

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BEYOND SPREADSHEETS

Technology & Budgeting

1

ERP modules

SAP, Oracle, NetSuite — holistic budgeting and reporting.

2

Budgeting tools

Anaplan, Quicken, Mint — sync directly to the GL or financial system.

3

BI dashboards

Tableau, Power BI, SAP BI — valuable data insights.

4

Transparency

Common taxonomy and reporting structure — one source of truth.

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Microsoft Power BI on Xero

- Analyse cash flow, overdue invoices and bills, and profitability by integrating Xero with Power BI.
- Power BI imports Xero contacts, invoices, bills and trial balance daily to build a dashboard and reports.
- You need a Power BI Pro licence or trial, and the advisor or standard user role in Xero.
- Multiple organisations can connect from one Power BI account — each in its own workspace.

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WHAT YOU'LL DO

Hands-On Activities — Budget Analysis

Activity 7

- Budget Variance Analysis in Xero

Activity 8

- Budget Analysis Dashboard with Power BI

—

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Budget Variance Analysis in Xero

ACTIVITY 7

Compare your Xero budget against actual performance, identify favourable and adverse variances, substantiate them as a budget manager and present the analysis.

You'll produce

A budget-to-actual variance analysis report identifying and substantiating favourable and adverse variances, presented to the class.

Tools: Xero Budget Manager

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 7 · VERIFY

Budget Variance Analysis in Xero

✅ Check your work

Your report shows dollar and percentage variances for each key account, labels each as favourable or adverse, substantiates the material ones, and was presented to the class.

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Budget Analysis Dashboard with Power BI

ACTIVITY 8

Connect Microsoft Power BI to your Xero organisation and build a dashboard that analyses cash flow, overdue invoices and bills, and profitability.

You'll produce

A Power BI dashboard fed daily from Xero contacts, invoices, bills and trial balance.

Tools: Microsoft Power BI, Xero

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 8 · VERIFY

Budget Analysis Dashboard with Power BI

✅ Check your work

Power BI displays the Xero dashboard for your organisation and you can read off cash-flow, receivables and profitability insights that support budget analysis.

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TOPIC RECAP

Recap — Budget Analysis

- You can now: LO5 — Perform financial analysis to highlight discrepancies (A5, K8, K9)

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Lunch Break

1 hour

06

TOPIC 06

Budget Approval

Budget approval process · Stakeholder precautions (A6, K10)

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TSC COVERAGE A6 · K10

Key Concepts — Budget Approval

1

Stakeholders

Boards are ambitious, mid-management conservative — the budgeting committee reconciles and 'sells' the final numbers.

2

Approval pack

Review of past year, goals and objectives, rolling forecast, plan details and realistic costs.

3

Approval process

Draft → departmental review → budget committee → board approval → communicated plan.

4

Communicate fast

An approved plan adds no value until business units receive it and start tracking performance.

5

Common issues

Slow approvals, no tracking framework, manual effort and no single source of truth for spend.

6

Right tooling

Robust tracking tools, frameworks and resources make approval meaningful.

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FROM DRAFT TO APPROVAL

Annual Budget Approval Process

1. Departments submit draft budgets
2. Budget committee reviews & consolidates
3. Revisions — numbers are 'opened up' and re-sold
4. Board reviews and approves
5. Approved plan communicated for tracking

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WHAT TO PRESENT

Stakeholder Precautions — the Approval Pack

1. **Review of past year**
   Highlight your successes and changes to last year's plan.

2. **Goals and objectives**
   A succinct overview of the basis for your plan.

3. **Forecast**
   Rolling monthly/quarterly forecast of plans including costs, in bullets.

4. **Plan details**
   Outline key operational areas and specific projects.

5. **Costs**
   Realistic costs for each project and operational expense.

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WHAT GOES WRONG

Budget Approval — Common Issues

1. The approval process takes longer than it should.
2. The approved plan is not communicated to business units in time to start tracking.
3. Approval adds no value without a robust tracking tool, framework and resources.
4. Manual effort makes budgeting tiring — nobody wants to do it.
5. No transparency on spend without one golden source of truth.

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Knowledge Check Quiz — Budget Approval

ACTIVITY 9

Check your understanding of the budget approval process, the stakeholder precautions and the common approval issues with an online quiz.

You'll produce

A submitted quiz on budget approval with your score reviewed against the class.

Tools: Google Forms

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 9 · VERIFY

Knowledge Check Quiz — Budget Approval

✅ Check your work

You submitted the quiz and can walk through the approval pack a budget manager presents — and the common issues that stall approval.

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TOPIC RECAP

Recap — Budget Approval

- You can now: LO6 — Report budget and seek approval (A6, K10)

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07

TOPIC 07

Financial Compliance

Singapore taxation policies · Financial control and compliance (A7, K6)

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TSC COVERAGE A7 · K6

Key Concepts — Financial Compliance

1

Corporate tax

All companies pay tax under the Income Tax Act on income derived from or remitted into Singapore — flat 17% on chargeable income.

2

Tax residency

A company is tax-resident where control and management are exercised — usually where board meetings are held.

3

Year of Assessment

The 12-month period in which income is assessed — YA follows the financial year end.

4

Start-Up Exemption

First 3 YAs: 75% exemption on the first S$100k and 50% on the next S$100k of chargeable income.

5

ECI & filing

File Estimated Chargeable Income within 3 months of FY end; e-File corporate tax by 30 Nov.

6

Penalties

Late filing risks prosecution; late payment attracts 5% penalty plus 1% per month up to 12%.

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TAX BASICS

Singapore Corporate Taxation

1

Who pays

All companies pay corporate tax under the Income Tax Act on chargeable income derived from Singapore or foreign income remitted into Singapore.

2

Flat rate 17%

Levied on chargeable income = taxable revenues − deductible expenses.

3

Tax residency

Resident where control and management are exercised — generally where board meetings are held.

4

Resident benefits

Start-up exemptions and Avoidance of Double Taxation Agreements (DTAs).

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TIMELINES

Year of Assessment (YA)

1

Definition

The 12-month period in which the company's income is assessed.

2

The rule

Income earned in a financial year is assessed in the YA following the financial year end.

3

Example

For YA 2018, the basis period is generally 1 Apr 2016 – 31 Mar 2017.

4

Why it matters

YA determines exemption eligibility and every filing deadline.

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TAX-RESIDENT BENEFITS

Start-Up Tax Exemption (first 3 YAs)

1

75% exemption

On the first S$100,000 of chargeable income (from YA 2020).

2

50% exemption

On the next S$100,000 of chargeable income.

3

Withholding tax

Payable on certain payments to non-resident companies.

4

DTA relief

Tax-residents avoid double taxation on income taxed in DTA partner countries.

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FILING DEADLINES

ECI & Corporate Tax Filing

ECI

- ECI — Estimated Chargeable Income
  - An estimate of taxable income for the YA
  - File within 3 months of the financial year end
  - Applies to all companies unless exempted

Income tax

- Corporate tax return
  - e-File by 30 November (paper phased out from YA 2020)
  - 15 December online concession no longer applies
  - All corporate tax documents filed annually

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CONSEQUENCES

Penalties for Late or Non-Payment

1

Late filing

An offence — company officers (e.g. directors) may be prosecuted in court.

2

Late payment

5% penalty, plus 1% per month the tax remains unpaid (up to 12% in total).

3

Enforcement

IRAS may take further enforcement or legal action to recover unpaid tax.

4

Stay compliant

Build tax deadlines into the budget calendar and cash budget.

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WHAT YOU'LL DO

Hands-On Activities — Financial Compliance

Activity 10

- Determining the Year of Assessment

Activity 11

- ECI and Corporate Tax Filing Deadlines

Activity 12

- Start-Up Tax Computation

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Determining the Year of Assessment

ACTIVITY 10

Work out the Year of Assessment (YA) for a set of company financial years, applying IRAS's rule that the YA is the year following the financial year end.

You'll produce

A completed YA worksheet mapping each financial year to its Year of Assessment.

Tools: YA worksheet, IRAS website

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 10 · VERIFY

Determining the Year of Assessment

✅ Check your work

Your worksheet assigns the correct YA to all three financial years (YA 2021, YA 2021 and YA 2021 respectively — the YA following each financial year end).

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ECI and Corporate Tax Filing Deadlines

ACTIVITY 11

Determine when a company must file its Estimated Chargeable Income (ECI) and its corporate income tax return for a set of financial year ends.

You'll produce

A completed filing-deadline worksheet showing the ECI deadline and income-tax filing deadline for each financial year.

Tools: Filing-deadline worksheet, IRAS website

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 11 · VERIFY

ECI and Corporate Tax Filing Deadlines

✅ Check your work

Your worksheet shows the ECI deadline (FY end + 3 months) and the correct income-tax e-Filing deadline for each financial year, and you can state the late-filing and late-payment penalties.

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Start-Up Tax Computation

ACTIVITY 12

Compute the corporate tax payable by a start-up over its first five years of profits, applying the Start-Up Tax Exemption Scheme and the 17% corporate tax rate.

You'll produce

A completed 5-year tax computation for a start-up using the provided template.

Tools: Tax computation template (Google Classroom), calculator

Detailed step-by-step instructions are in the Learner Guide.

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ACTIVITY 12 · VERIFY

Start-Up Tax Computation

✅ Check your work

Your template shows, for each of the five years, the exemption applied, the chargeable income after exemption and the tax at 17% — with years 1–3 using the Start-Up Tax Exemption.

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TOPIC RECAP

Recap — Financial Compliance

- You can now: LO7 — Perform financial control to ensure compliance (A7, K6)

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WRAP-UP

Course Summary & Next Steps

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LEARNING OUTCOMES

What You Achieved

1

Budgeting foundations

Analysed strategies, statements and budget types with Xero (LO1).

2

Financial forecasting

Forecast a full year in Xero Budget Manager from real assumptions (LO2).

3

Budget preparation

Built the 99 Agency master budget through all 7 schedules (LO3).

4

Budget control

Prepared control plans across operating, cash and capex budgets (LO4).

5

Budget analysis

Analysed variances and built a Power BI dashboard on Xero (LO5).

6

Approval & compliance

Reported budgets for approval and applied Singapore tax rules (LO6, LO7).

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KEEP LEARNING

Recommended Courses

- IBF — Financial Analysis for Non-Finance Managers
- WSQ — Accounting for Non-Finance Managers
- WSQ — Generative AI for Finance and Fintech
- WSQ — Unlocking the Power of Accounting and Tax Systems for SMEs
- WSQ — Python Programming for Finance

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WE'RE HERE TO HELP

Support

- If you have any enquiries during and after the class, contact us:
- Email: enquiry@tertiaryinfotech.com
- Tel: +65 6100 0613
- Website: www.tertiarycourses.com.sg

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FINAL ASSESSMENT

Assessment

- Written Assessment (WA) — Short-Answer Questions (SAQ), 70 minutes, open book.
- Written Assessment (WA) — Case Study (CS), 80 minutes, open book.
- Format: Open Book — course slides, Learner Guide and approved materials only.
- A minimum of 75% attendance is required to be eligible for assessment and funding.
- An appeal process is available if required.

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ON ASSESSMENT DAY

Assessment Flow

1. TRAQOM survey — scan the QR code on the LMS
2. Assessment digital attendance — scan the SSG QR
3. Sit WA (SAQ) 70 min, then WA (CS) 80 min — open book
4. Submit your answers on the LMS
5. Sign the Assessment Summary Record

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Digital Attendance (Mandatory)

- It is mandatory to take the AM, PM and Assessment digital attendance for WSQ-funded courses.
- The trainer/administrator displays the digital attendance QR code from the SSG portal.
- Scan the QR code with your mobile phone camera and submit your attendance.
- A minimum of 75% attendance is required to be eligible for assessment and funding.

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HAPPY BUDGETING

Thank You!

You are now ready to forecast, prepare, control, analyse and report the budget of a small or medium enterprise.

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